
Key Takeaways from the 5th CIS Islamic Banking and Finance Forum in Tashkent

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Recently had the opportunity to attend the 5th CIS Islamic Banking and Finance Forum in Tashkent, and one thing that stayed with me throughout the sessions was this:

Islamic finance is more than just creating Sharia-compliant financial products. It's also about creating the right systems, people, regulations, technology, and ecosystem to support those products.

Prior to attending the forum, one could easily associate Islamic banking with products such as Murabaha, Mudarabah, Musharakah, Ijarah, and Sukuk.

However, the discussions in Tashkent taught me that there is a much bigger picture.

Let us see what was learned during the session.

First, How Big Is Islamic Finance Becoming?

One of the first things discussed was the growth of the global Islamic finance industry. The global Islamic finance sector was discussed as being around \$5.5 trillion in assets, with projections of around \$7.5 trillion by 2028.

At the same time, Islamic finance is also developing in Central Asia and the CIS region. The Central Asian Islamic finance market has already crossed around \$600 million according to the figures discussed at the forum.

This made me think: Islamic finance is no longer something limited to Malaysia, the GCC, or a few Islamic banks.

It is gradually becoming relevant in markets such as Uzbekistan, Kazakhstan, Kyrgyzstan, Azerbaijan and other CIS countries.

But growth creates another question: Do these countries have enough people, systems and expertise to support that growth?

And that became one of the biggest themes of the forum.



The Islamic Banking Window Problem.

One particularly interesting discussion was about Islamic banking windows.

Imagine a conventional bank saying, "We want to offer Islamic banking too."

Instead of creating a completely separate Islamic bank, the bank creates an Islamic window. It may offer products such as Murabaha, Ijarah or Mudarabah while remaining part of the conventional bank.

At first, this sounds like a practical solution. But there is a problem.

If the Islamic window contributes only around 5–10% of the bank's income, management may start looking at it as a small side business rather than a serious strategic business line.

And then growth becomes difficult.

There can also be a point where the Islamic business becomes large enough that the institution has to think about becoming a full-fledged Islamic bank, depending on the country's regulatory framework. This creates what was described as a kind of "glass ceiling".

The business wants to grow, but the structure around it has not been prepared for that growth.



Why "Ring-Fencing" Matters

Another concept that stood out to me was ring-fencing. Let's make it very simple.

Imagine a bank has:

- Islamic customers
- Conventional customers

The money and transactions related to the Islamic business should be properly separated and controlled. You cannot simply tell customers, "Your money is being handled through an Islamic product."

While internally allowing the funds to move into conventional activities in a way that conflicts with the Sharia structure. That is why proper systems are needed to track:

- Where did the money come from?
- Where did it go?
- Which product is it connected to?
- What is the underlying transaction?

This is not just an accounting issue. It requires appropriate IT systems, core banking systems, treasury arrangements and internal controls.

Technology Is Not a Small Issue

This was another important lesson. When we talk about Islamic banking, we often focus on the Shariah contract. For example: "This product uses Murabaha."

But the question doesn't end there. The bank needs technology capable of correctly recording the Murabaha transaction. The system needs to understand things such as:

- the purchase of the asset,
- ownership,
- sale to the customer,
- payment schedule,
- profit,
- documentation,
- accounting treatment,
- risk management.

If the bank's technology was originally designed only for conventional lending, simply changing the name of the product is not enough. So, Islamic banking requires technology that can support the actual structure of the transaction.

Shariah Governance: More Than Just Getting a Fatwa

Another major discussion was around Shariah governance. I found this particularly interesting because Shariah compliance should not simply mean "A scholar approved it, so we are done."

A proper framework can involve several layers, including:

- Shariah Supervisory Board
- Shariah compliance
- Internal audit
- External audit
- Risk management
- Product development
- Documentation and monitoring

The idea is to make Shariah compliance part of the whole process, rather than something that happens only at the end. One concern discussed was that sometimes compliance and audit functions can become mixed together. Another interesting issue **raised** was the practice sometimes described as "**fatwa shopping**".

A fintech or institution may ask different scholars or institutions until it finds an opinion that approves the structure it wants. This creates a difficult question:

Are we designing the product around Shariah principles, or are we looking for an opinion to justify a product that has already been designed?

That is why strong governance and qualified expertise matter.



The Biggest Problem: People

One of the strongest messages from the forum was the human capital problem. Islamic finance is growing.

But the number of people who deeply understand **Shariah + banking + finance + accounting + technology + risk management** is still limited.

A bank may have excellent bankers who understand finance but do not understand Islamic contracts deeply. It may have Shariah scholars who understand Fiqh but are not familiar with modern banking systems. It may have technology experts who understand IT but not Islamic finance.

So the real challenge is finding people who can connect these different areas together.



Takhassus — Going Beyond Surface-Level Knowledge

One concept mentioned by **Abdulmannon Abdullah** that stayed with me was:

Takhassus: In simple words, it means deep specialisation.

Knowing the names of Murabaha, Mudarabah and Musharakah is not the same as actually understanding how they work. For example, someone may say, "**Murabaha is an interest-free loan.**"

But that explanation can be misleading.

Murabaha is fundamentally a **sale transaction**, where the institution purchases an asset and then sells it to the customer at a disclosed cost plus profit, subject to the applicable Shariah requirements.

So if someone is working in Islamic finance, they need to understand not just the terminology but the **actual structure, risks, documentation and Shariah requirements**. This is why deep specialisation is important.

How Can We Solve the Talent Shortage?

The forum discussed several possible solutions. One important route is **professional certification and continuous education**. AAOIFI certifications were discussed as one pathway, including:

- Certificate of Proficiency in Sharia/Financial Accounting Standards
- CIPA – Certified Islamic Professional Accountant
- CSAA – Certified Sharia Adviser and Auditor

The Uzbekistan Central Bank was also mentioned in relation to enrolling staff in AAOIFI programmes. There were also discussions around training partnerships involving organisations such as:

- IsDB
- IFSB
- ICD

The idea is simple: If Islamic finance is going to grow, people need to grow with it.

Learning From Other Countries

Another thing I liked about the forum was the idea of **learning from each other's experiences**. For example, countries can learn from each other's regulatory journeys.

Azerbaijan has explored regulatory sandbox approaches. Kyrgyzstan has around two decades of experience with Islamic finance development.

Algeria has developed an Islamic banking framework and has experience with sovereign Sukuk. Instead of every country starting from zero, they can ask:

- "What worked for you?"
- "What didn't work?"
- "What mistakes should we avoid?"

This type of regional knowledge-sharing can save time and resources.

Education Can Also Be Financed Through Islamic Finance

Another fascinating discussion was about using Islamic finance itself to support education. Two ideas mentioned were: **Waqf Endowment Funds**

A Waqf can create a long-term source of funding.

The idea was discussed in the context of models associated with institutions such as

- **Al-Azhar University.**
- **Sukuk Al-Talim**

This refers to using Sukuk structures to help finance education. **And I found the idea quite powerful:** Islamic finance can help develop the very human capital that Islamic finance needs for its own future.

Now Let's Talk About Alif's Sukuk

One of the most interesting practical examples discussed was **Alif's Sukuk model**. This helped me understand how all these concepts can come together in a real transaction.

At a basic level, the model discussed is based on **Mudarabah**. Think of it like this.

There are two sides: Investors—They provide the capital.

Alif—Alif manages the funds and uses them in Sharia-compliant business activities.

The returns are linked to the **performance of the underlying activities**, with profit-sharing according to the agreed structure.

The activities can involve structures such as:

- Murabaha
- Musharakah
- Other Sharia-compliant financing activities

So instead of simply saying, "Give us your money and we will pay you interest." The structure is designed around **investment and Sharia-compliant business activities**.



The Uzbekistan Sukuk Example

The forum discussed Alif's first private Sukuk transaction in Uzbekistan. The structure involved an **SPV in Luxembourg**. The overall programme was around **\$50 million**, with an initial **\$10 million tranche** placed with private investors. What made this interesting was not just the amount.

It demonstrated that a Central Asian fintech could potentially connect with the **international Islamic capital market**.



The Kazakhstan Example

Another Sukuk programme discussed was planned for Kazakhstan. The programme was described as **\$50 million** with an initial tranche of **\$10 million**

The discussed structure had:

- 2-year tenor
- dollar denomination
- an expected return of around 10%
- planned listing on the Astana International Exchange
- distribution through local Kazakhstani underwriters to retail investors

The important lesson for me was that Sukuk can potentially move beyond being a theoretical Islamic finance concept. They can become a practical fundraising instrument.

But Sukuk Is Not the Only Funding Tool

Another interesting point was that Islamic finance institutions can use several different funding structures. For example:

Mudarabah Deposits: Investors provide capital, and returns are based on the agreed profit-sharing arrangement.

Wakala: An investor appoints an institution as an agent to manage funds according to an agreed mandate.

Wakala Commodity Murabaha: A structure using commodity transactions to facilitate financing or liquidity arrangements, subject to the applicable Shariah requirements.

There were also examples involving:

- ITFC-backed Wakala Murabaha
- Wakala Murabaha with a local Uzbek bank
- Open investment accounts

The forum discussed investment accounts in Uzbek Som offering expected profit rates of up to **25%**, depending on the specific product and structure.

Around \$200 Million Raised Through Mudarabah

One of the numbers that caught my attention was the discussion of approximately **\$200 million attracted through the Mudarabah model**, involving individual investors and international funds. This shows another important side of Islamic finance.

There may already be: **Capital + Investors + Businesses + Projects**

But they don't automatically connect. Someone has to structure the transaction properly. And that is where Islamic finance professionals, Shariah advisers, lawyers, accountants, investment professionals and analysts all become important.

The Missing Link: Connecting Capital With Projects

This was probably one of the biggest lessons I took away from the forum. Imagine there is:

 A company that needs financing

 An investor looking for Sharia-compliant opportunities

 A project with potential

 Shariah requirements

 Regulatory requirements

 Technology requirements

All of these pieces may exist separately. But someone needs to bring them together. That means Islamic finance is not only about having money. It is about having the **right structure**.

The Ecosystem Still Has Gaps

The discussions also highlighted several gaps across the CIS Islamic finance ecosystem. These include:

- shortage of qualified Shariah experts
- shortage of Islamic finance professionals
- shortage of risk-management specialists
- shortage of Sukuk professionals
- shortage of Islamic fintech specialists
- limited Islamic securities markets
- limited Takaful development
- insufficient interbank Islamic liquidity solutions
- limited public awareness

There is also a need to make sure front-office employees understand what they are actually selling.

For example, calling Murabaha simply an "**interest-free loan**" can give customers the wrong understanding of the transaction. The terminology matters because the **structure matters**.

Takaful Is Another Important Piece

Islamic finance cannot become a complete ecosystem if banking grows but other areas remain underdeveloped. The forum also discussed **Takaful**.

The global Takaful industry was discussed as being around **\$30 billion**, with annual growth of approximately **10%**.

The idea is straightforward: If people have Islamic banking products but cannot access suitable Sharia-compliant insurance/risk protection, the ecosystem remains incomplete.

So banking, Takaful, Sukuk, investment, fintech and other Islamic financial services need to develop alongside each other.

The Tashkent Framework

Another initiative discussed was the "**Tashkent Framework**", associated with the Central Asian FinTech Association. The basic idea is to encourage cooperation between:

-  Banks
-  Fintech companies
-  Regulators
-  Universities
-  International organisations
-  Islamic finance professionals

Because no single organisation can solve the talent and ecosystem problem alone.

The Idea of Naf'iyat

One of the ideas I personally found meaningful was the concept of **Naf'iyat** — being useful and creating benefit. Islamic finance should not be approached only as "**How much money can we make?**"

There is also a broader question:

- What benefit are we creating?
- Are we helping SMEs?
- Are we improving financial inclusion?

- Are we creating ethical investment opportunities?
- Are we helping businesses grow?
- Are we developing people?
- Are we creating genuine economic activity?

These questions make Islamic finance much bigger than simply replacing the word "interest" with another financial term.

My Biggest Takeaway

After listening to the different sessions, I came away with a much broader understanding of Islamic finance. I used to think the main question was, "**Is this product Sharia-compliant?**"

But the discussions made me realise that there are many more questions:

- **Who is structuring it?**
- **Who is checking the Shariah compliance?**
- **Does the technology support the structure?**
- **Are the funds properly separated?**
- **Can the bank manage the risk?**
- **Does the regulator have the right framework?**
- **Does the staff actually understand the product?**
- **Is there enough liquidity?**
- **Are there investors?**
- **Can the structure connect investors with real businesses and projects?**

That is where the real challenge—and opportunity—lies.

Final Reflection

The 5th CIS Islamic Banking and Finance Forum in Tashkent gave me a different perspective on the future of Islamic finance in Central Asia and the wider CIS region. There is clearly growing interest, capital, technology and regulatory development. But growth alone is not enough.

The region needs:

- **Better education**
- **Deeper specialisation**
- **Stronger Shariah governance**
- **Better technology**
- **Clearer regulations**
- **More Islamic liquidity solutions**
- **More qualified professionals**
- **Stronger cooperation between countries.**

And perhaps most importantly, it needs people who understand Islamic finance **beyond the terminology**. For me, the forum was a reminder that Islamic finance is not simply about learning a list of contracts.

It is about understanding how **Shariah, finance, business, technology, regulation, people and real economic activity** all connect. And that is what makes the development of Islamic finance in the CIS region so interesting to watch.

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